



Karnataka Export Chronicle

QUARTERLY NEWSLETTER ►

APRIL TO JUNE 2024

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Perspective



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Director (Exports) &
Managing Director

An analysis of the export performance of our State in year 2023-24 vis-à-vis the previous financial year, indicates that the overall exports have clocked a rise of 5.2%. Notwithstanding the fact that the merchandise exports plummeted at All India level and the State, with the exception of Tamil Nadu, Karnataka recorded positive trend in exports in sectors like Organic Chemicals / Pharmaceuticals, Automobile Sector, Iron Ore and Minerals, Aerospace, Spices and Silk products. What is also heartening is that the Services exports registered 7.37% rise in exports. In a consecutive spate of performance, Bengaluru Urban district emerged as a star performer, having topped the charts in exports during 2023-24, followed yet again by Dakshina Kannada, Bengaluru Rural and Kolar districts.

In a bid to provide impetus and make forays into either hitherto untapped international/export markets, or those with latent export potential, VTPC has made concerted efforts to

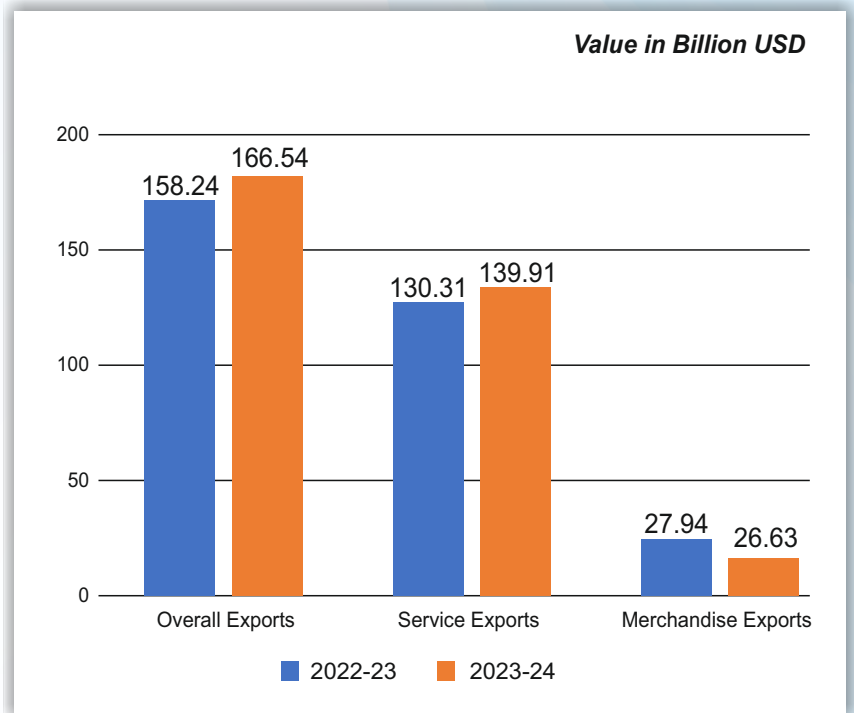
reach out and connect with Embassies in foreign countries for upscaling its international outreach activities.

In the current edition of Karnataka Export Chronicle, we present Saudi Arabia as the Focus Country for analysis, besides X-ray tubes as the Focus Product. Get familiarised with our export promotion initiatives and the gamut of capacity building and training programs organised in the quarter gone by in both the exports and intellectual property rights landscape. Take a peep into the annals of history from Dharwad region, with the colourful and magical weaves from artisans of Navalgund Durries, a Geographical Indication tagged product. Readers! We urge you to keep up with the going ons in the exports space and help disseminate the same amongst your fraternity. Stay connected for engaging discussions or sharing of thoughts to make this an effective medium to learn and grow in unison!

1 Karnataka's Export Performance

(Karnataka's Export Performance 2023-24 as compared to 2022-23.)

- Overall exports grew by 5.2% in 2023-24, over the previous financial year
- While Service Exports have shown 7.37% rise in exports, the Merchandise Exports have decreased at all India level and also at State level except in the State of Tamil Nadu.
- Karnataka's Merchandise Exports have shown negative performance in 2023-24 as compared to 2022-23 at 4.68%.
- There is a reduction in exports in Petroleum Products, Readymade Garments, Agriculture and Processed Food and Marine Products.
- Organic Chemicals / Pharmaceuticals, Automobile Sector, Iron Ore and Minerals, Aerospace, Spices and Silk products have shown positive trend in exports.
- Bengaluru Urban District tops in exports during the year 2023-24 followed by Dakshina Kannada, Bengaluru Rural and Kolar districts.
- The following districts have shown rise in exports namely: Kolar, Ballari, Hassan, Kodagu, Chitradurga and Chamarajanagar.



TOP EXPORT MARKETS (2023-24)



USA
5.64 BN \$



UAE
2.68 BN \$



Netherlands
1.52 BN \$



China
1.40 BN \$



South Africa
0.95 BN \$

TOP EXPORTED COMMODITIES (2023-24)



Petroleum
4.20 BN \$



Telecom Instruments
2.40 BN \$



RMG and Accessories
1.36 BN \$



Electronic Instruments
1.10 BN \$



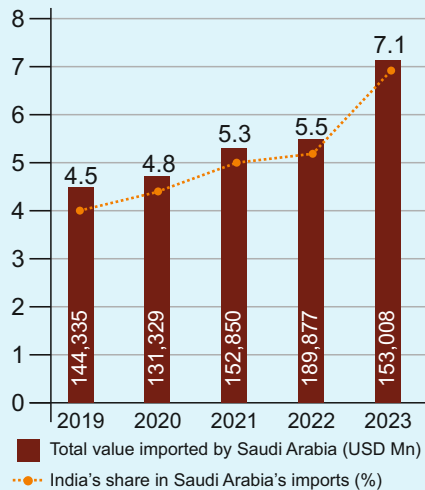
Drug Formulation
1.01 BN \$

2 Focus Country: SAUDI ARABIA

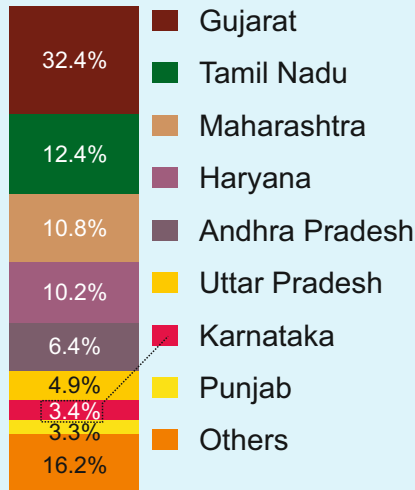
Saudi-India Trade Snapshot

India exports an average of USD 10 Bn of merchandise per year to Saudi Arabia; Karnataka is the 7th largest contributor of India's export to Saudi Arabia

1 India's contribution to Saudi Arabia's imports is growing over the years



2 8 states contribute to ~84% of exports of India to Saudi Arabia



3 12 sectors contribute to ~70% of India's exports to Saudi Arabia

HS Code	Product	India's average share in Saudi's Import
27	Mineral fuels & mineral oils	11.6%
87	Motor vehicles	10.9%
10	Cereals	10.8%
29	Organic Chemicals	8.3%
84	Machinery & Mechanical appliances	6.2%
73	Articles of iron or steel	3.4%
74	Copper and articles thereof	3.4%
61	Apparel, knitted or crocheted	3.2%
72	Iron and steel	2.4%
62	Apparel, not knitted or crocheted	2.1%
17	Sugars & sugar confectionery	2.1%

Major products imported by Saudi Arabia

SECTORS	Value (Bn USD)
Road Vehicles	23.77
Mechanical Machinery and Equipment	20.21
Electrical Machinery and Components	15.17
Pharmaceuticals	6.19
Optical and Medical Instruments	3.97
Aerospace Components	3.45
Organic Chemicals	2.48

Karnataka's exports to Saudi Arabia 2023-24

SECTORS	SAUDI ARABIA EXPORTS	KARNATAKA EXPORTS
Organic Chemicals	2480.00	98.07
Electrical and Telecom Equipment	15170.00	96.00
Two Wheelers	23770.00	79.45
Cashewnut and other Fruits	1182.00	21.80
Mechanical Machinery	20210.00	20.08
Furniture	3963.00	13.40

(Value in Mn USD)

Focus Products for exports to Saudi Arabia

- Saudi Arabia imports have increased from 142.00 Bn USD during 2019-20 to 189.00 Bn USD during 2023-24.
 - India's exports have increased by 30% to Saudi Arabia and Karnataka exports have increased by 18%.
- Karnataka's share in exports to Saudi Arabia for products like Organic Chemicals, Electrical Machinery including Smartphones, Mechanical Equipment and Furniture have shown steady progress of about 10%.
- There is a huge scope for exports of Aerospace Components, Optical and Medical Instruments which is in growing demand in Saudi Arabia and is increasing by 12% per annum.



3 Focus Products – X-ray Tubes (HSN Code: 90223000)

- Global demand for this product last year was 2.80 Bn USD which is steadily increasing since 4 years.
- India stands 5th in the exports of X-ray Tubes with an export of 164.00 Mn USD after USA (693.00 Mn USD), Germany (504.00 Mn USD), China (342.00 Mn USD) and Netherlands (210.00 Mn USD).
- Karnataka's share in export of this product is 87% of the National exports and State exports have increased from 120.00 Mn USD 2019-20 to 164.00 Mn USD during 2023-24. Major exports from Karnataka are to destinations like China, USA, France and Singapore.
- China is the top importing country followed by USA, Japan, Netherlands, France and Germany.
- Focus countries for expanding the exports basket from the State would be Netherlands and Japan.

4 Exim Notifications - 1st Quarter (2024-25)

1. Issuance of RCMC for Medical Devices - Vide Notification No.5/2024-25 dated 12.06.2024.
2. Relaxation in the provision of submission of "Bill of Export" as evidence of export obligation discharge for supplies made to SEZ units in case of Advance Authorisation - Vide Notification No.4 dated 03.06.2024.
3. Streamlining of Halal Certification Process for Meat and Meat Products - Vide Notification No.8/2023 dated 23.04.2024.

5 Key Initiatives/Meetings in Export Promotion

Embassy Outreach Initiatives

Aligned with the Nation's vision to become a USD 30 trillion economy by 2047, Government of Karnataka has taken concerted efforts to leverage the strengths and potential of various sectors of the State in the exports arena. With a wideranging funnel of exportable products and services, the state contributes significantly to the country's overall exports. Buoyed by its strategic location, robust infrastructure, and skilled workforce among others, the state has demonstrated track record of being an attractive destination for both merchandise and service exports. Against this backdrop,

VTPC intends to tap hitherto untapped markets, explore new frontiers, reach out to potential destinations and nurture strong trade relations with other countries. With this objective, VTPC, on behalf of the Department of Industries and Commerce has taken the initiative of reaching out to embassies of various countries to foster strong trade ties and thereby expand its horizons. Focus areas of thrust include Market research, trade promotion events, export delegations and promoting brand Karnataka, sector specific initiatives, networking and alliances, among others.

Impetus to E-commerce to bolster exports

E-commerce Outreach Event, 17th May 2024, KASSIA, Bengaluru

VTPC in association with the Directorate General of Foreign Trade (DGFT), EEPCC, Indian Customs, EPCH, FIEO, ECGC, EXIM Bank, India Post, Amazon, Shiprocket, DHL, AEPC and other Export Promotion Councils, organised a day long E-commerce outreach event, under the Districts as Export Hubs (DEH) initiative of the DGFT. The event was a timely one against the backdrop of global cross border e-commerce which is estimated to grow to USD 800 billion by 2025 and upto USD 2 trillion by 2030. Managing Director VTPC ushered in the outreach program and gave a clarion call to exporters to leverage the best opportunities and ecosystem provided by the State and nurture the e-commerce space to boost exports.



Meeting with Hon'ble Minister for Large & Medium Industries and Infrastructure



Stakeholders' meeting with the Hon'ble Minister for Large & Medium Industries and Infrastructure, held on 19th June, 2024, at the Meeting Hall of IKF, Khanija Bhavan, Bengaluru, to review the progress of Karnataka Pavilions at T2 of BIAL, showcasing the GI-tagged and other heritage products of the state.

Joint Director (VTPC Bengaluru) and Deputy Director, VTPC (Mysuru Branch) make a site visit to the upcoming VTPC Export Bhawan on 24th June'24, Mysuru.



Thrust to Export Promotion in districts: VTPC sets up new Branch Offices

The thrust to exports across districts of the State has gained further impetus with VTPC's launch of two new Branch Offices at Kalaburgi and Dakshina Kannada. Exporters may watch out for more initiatives and activities from the respective regions.

6 Capacity Building Programs (Exports)

Export Management Training Programs (EMTP) and Export Awareness Program (EAP)



24th to 29th June 2024, 122nd EMTP, Mysuru



20th to 25th May, 121st EMTP, Belagavi



14th June 2024, Export Awareness Program, University of Agricultural Sciences, Dharwad



VTPC represented at a Session on Exports on the occasion of World MSME Day on 27th June'24, Hotel Capitol, Bengaluru

7 Capacity Building Programs (IPR)



Workshop on Intellectual Property Rights: Patents, Industrial Designs and Copyrights, held on 5th June'24, in association with BNMIT College, Bengaluru



Workshop on Intellectual Property Rights and IP Management for Startups, held on 6th June'24 in association with BNMIT College, Bengaluru



Workshop on WTO and contemporary trends in the international trade landscape, held on 24th June'24, in association with Mount Carmel College, Bengaluru



Workshop on User and System Framework and Design Thinking for Innovating in Industry, held on 25th June'24, in association with Mount Carmel College, Bengaluru



Sensitisation Program on Intellectual Property Rights, held on 28th June'24, in association with Karnataka State Akkamahadevi Women University, Vijayapura



8 GI Spotlight: Navalgund Durries

The origins of the Navalgund Durries can be found in the 'Jamkhan Galli' of Vijayapura and is now practiced only in Navalgund, Dharwad district by a group of craftswomen who operate the looms at home. The history of this colourful weave dates back to the reign of Ali Adil Shah, the king of Bijapur. During the tussle between the Deccan Sultanate and Vijayanagar Empire in 1565 A.D, it is said that the Jamkhana weavers migrated from Vijayapura to Navalgund and continued weaving this craft. Inspired by the beautiful peacock which the place was famed for, the weavers incorporated the bird as a motif in their enchanting weaves.

There are three types of durries woven in Navalgund namely Navalgund Jamkhan, Ja-Namaaz and Guddar. The first two durries are woven on primitive vertical loom and used as community prayer rug. The third type is used for covering the floor and storing grains. While Durries are woven across different parts of the country on a horizontal ground loom, with wide ranging varieties and dimensions, what sets apart the Navalgund Durries is that they are hand woven on a primitive vertical loom, with geometric, birds and animal designs. The Jamkhans weaving is a meticulous and laborious process comprising drawing of the heald, dyeing of the weft yarn and plying of the weft yarn. Cotton of 3/10s, an unbleached yarn, is used in warp and cotton of count 10's of 6-ply is used in weft. The product got a Geographical Indication (GI) tag under the handicrafts classification in the year 2006.



9 GI Artisan Corner

Meet Smt. Farzana H. Sirasangi, a passionate and creative artisan of Navalgund Durries. It was a dream she says from her childhood to contribute towards the production of Navalgund Durries, inspired by its rich history, originating from the Bahmani Empire. It was in the year 1995, she reminisces fondly and with a sense of pride, that she got trained from KSHDCL Rural Marketing and Service Centre, Navalgund, for weaving Navalgund Durries, her first occupation. The uniqueness of the special weave also awed her and hence with zeal and commitment she decided to carry forward its legacy. It certainly was not a bed of roses as an artisan, recalls Smt. Farzana, who shares that she had to encounter several challenges and teething troubles. As they say charity begins at home, it was quite a balancing task for her to strike the right equilibrium between professional and family life, wherein nurturing the education of her children and taking care of her family members were equally important. However, on the positive side, thanks to the immense support provided by her family, she was able to contribute and continue in the profession seamlessly and without any break. What are the strategies she has used for the successful marketing of Navalgund durries to a wider audience? Quips Farzana, "The GI tag to Navalgund Durries has helped the product fetch good premium in domestic market and raw materials, looms and marketing of Navalgund Durries is being done successfully by KSHDCL." Besides, as a strategy, she mentions that new and contemporary designs are infused alongside the traditional



historical designs, which cater to the new generation customers. However, she alerts that to carry forward this ancient legacy weave, the new generation interested in handicrafts, should be trained in this weave and also wooden looms should be upgraded to iron looms. Her message to the youth to take forward this profession is to imbibe learnings about the historical and cultural significance of Navalgund Durries to be able to nurture this profession in the coming days. She opines that Government support by way of financial assistance for training, infrastructure facilities and uninterrupted supply of raw materials, living cum workshops to the artisans and provision of looms & working capital finance at concessional rates are few steps which would go a long way in bolstering this profession.

Smt. Farzana is the proud recipient of several coveted awards, honours and achievements in her professional journey including the Handloom & Textile Department 2021-22 State Award, Appreciation Certificate from Central Technological Research Institute and more besides!



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